

complaint

This complaint relates to the rejection by Royal & Sun Alliance Insurance Plc of a claim for damage caused by an escape of water.

background

My provisional decision dated 4 March 2014 set out the background to the complaint and my reasons for upholding it. It is attached and forms part of this final decision.

developments

Mrs R responded to say she was happy with the content of my provisional decision.

RSA responded to say that it was reviewing the decision but did not provide any response by the deadline.

my findings

In view of the responses received, I see no reason to depart from my provisional findings.

my final decision

I require Royal & Sun Alliance Insurance Plc to settle the claim in accordance with the remaining terms and conditions of the policy (for these purposes the policy document supplied by RSA for the 'Property Insurance Policy' should be treated as containing the relevant terms, so far as consistent with this decision) and should pay interest at 8% pa simple on any cash payments from the date of loss to the date of payment. If it is obliged to deduct tax from any interest RSA should provide Mrs R with a tax deduction certificate so she can reclaim the tax if she is able to.

Jonathan Coppin
ombudsman

Copy of provisional decision

complaint

This complaint relates to the rejection by Royal & Sun Alliance Insurance Plc of a claim for damage caused by an escape of water.

background

Following the end of a tenancy on her property, Mrs R arranged a programme of extensive refurbishment and maintenance so the property could be re-let. In order to help protect the property against the cold, and because there were going to be people working in it, Mrs R kept the heating system on during this period. More than two months after the tenant left, the boiler failed, during a period of exceptionally cold weather, a pipe in the loft burst and there was a serious flood.

RSA rejected her claim on the basis that her policy covered *"loss or damage directly caused by ...escape of water from any fixed water or heating installation other than....loss or damage whilst the **Buildings** are **Unoccupied** for 30 days or more"*. RSA said that the property had been unoccupied since the tenant moved out which was a period in excess of 60 days.

In addition, RSA rejected the claim because it said Mrs R had not complied with the 'unoccupancy endorsement' which said that if the property was *"left **Unoccupied** for 14 days or more....the gas and water supplies must be turned off and the water system drained"*.

Mrs R argued that the building had effectively not been left unoccupied at any point for more than a few days because of the amount of time spent there by contractors and visits she and the letting agent carried out, and she referred to views we have previously published supporting this interpretation of *"occupied"*. She also argued that the property could not be lived in at the time, because of the amount of work to be done; she had no option but to keep the heating on for the workmen and she had behaved reasonably in doing so as it would protect the property against bad weather and help to get the property re-let more quickly.

Our adjudicator pointed out that the published sources identified by Mrs R setting out our views on the interpretation of 'unoccupied' (*ombudsman news – issue 34*) make it clear that the views we express there apply where the term has not been defined in the policy – not where the insurer has itself provided 'a plain and intelligible definition'. Here the policy defines unoccupied as *"The part or whole of the property not lived in by a person authorised by **You**"*.

Our adjudicator thought that the language used to exclude liability where the property had been unoccupied for 30 days or more and in the 'unoccupancy endorsement', was not unusual and had been adequately highlighted in the summary of cover note. She felt that RSA's decision to reject the claim was neither unfair nor unreasonable.

Mrs R asked for the matter to be referred to an ombudsman.

my provisional findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint. Where there is a dispute about what has happened, I have to base my decision on the balance of probabilities – in other words, on what I consider is most likely to have happened in the light of the evidence available to me.

There is a good deal of confusion around the documentation for this policy. Mrs R has supplied a certificate which does clearly relate to the correct property and the relevant cover

period. That certificate refers to a 'Landlords Household Insurance Policy'. RSA has provided a policy document for a 'Property Insurance Policy' and a 'Summary of Cover' which refers to a 'Property Policy combining Unoccupied Property Policy'. The certificate provided by Mrs R refers to a policy endorsement which does not exist in the policy document supplied by RSA. The Summary of Cover supplied by RSA seems to suggest that it potentially relates to two different policies, a Property Policy and an Unoccupied Property Policy, and appears to set out conflicting exclusions and limitations relating to unoccupancy for each.

In response to questions from our adjudicator, RSA has now three times identified the 'Property Insurance Policy' for which it supplied the policy booklet as the correct policy document. On another occasion it supplied a booklet for a policy called 'Let Property Flexile Buildings and Contents Insurance' and said that was the correct policy. Given that the certificate produced by Mrs R is a document specific to her policy which identifies the correct property, relates to the relevant cover period and contains details of sums insured and premium I think it is more likely that the certificate is correct in the endorsements it identifies in the underlying policy. Therefore I think the most likely explanation is that the 'Property Insurance Policy' booklet and the Summary of Cover referring to a 'Property Policy combining Unoccupied Property Policy' - which do not themselves seem to me to fit together – are not the correct documents relating to Mrs R's policy.

However, I think my decision would be the same even if it could be shown that the documents supplied by RSA were the correct documents for the policy. Mrs R has argued that the property was regularly occupied, in the normal sense of the word, during the period and has produced a schedule showing the dates on which contractors were at the property and the managing agents were showing prospective tenants round the property. In addition, Mrs R has said she and her partner regularly visited the property during the period in order to check on progress and collect mail.

Mrs R has pointed out that we have in the past envisaged a property being "*occupied*" so long as it was visited on a reasonably frequent basis, even though the policy holder was not sleeping there every night. Our adjudicator correctly pointed out that this position generally applies where the insurer has not itself provided a plain and intelligible definition of "*occupied*" or "*unoccupied*".

However, we also normally say that where a term is defined in a way which is significantly different to the ordinary meaning of the word, we are likely to uphold a complaint if the policy holder's attention was not adequately drawn to the unusual definition and the rejection of the claim relied upon that definition. Even if I were to assume that the documents supplied by RSA were the correct policy documents and correctly applied to each other, I would see a number of exclusions and limitations relating to unoccupancy prominently disclosed on the Summary of Cover and a definition in the policy document of "*unoccupied*" as "*The part or whole of the property not lived in by a person authorised by **You***". That definition is significantly different to the meaning we would normally apply and, in my opinion, it would not have been adequately drawn to Mrs R's attention – without knowing how "*unoccupied*" was defined it would not be possible to appreciate the significance of the exclusions and limitations set out in the Summary of Cover.

In these circumstances, I do not think it would be reasonable to allow RSA to rely upon that definition and the exclusions and limitations would have to be read as if the ordinary meaning of "*unoccupied*" applied. On that basis, as Mrs R has produced evidence that contractors and the letting agent were at the property on a reasonably frequent basis throughout the period, and she and her partner made additional visits, I do not consider that the property should be treated as unoccupied, even if these were shown to be the correct policy documents and Summary of Cover.

my provisional decision

My provisional decision is that Royal & Sun Alliance Insurance Plc should settle this claim in accordance with the remaining terms and conditions of the policy (for these purposes the policy document supplied by RSA for the 'Property Insurance Policy' should be treated as containing the relevant terms, so far as consistent with this decision) and should pay interest at 8% pa simple on any cash payments from the date of loss to the date of payment. If it is obliged to deduct tax from any interest RSA should provide Mrs R with a tax deduction certificate so she can reclaim the tax if she is able to.